3.7.2 Financial statements

Unit 3.7 Analysing the strategic position of a business · 8 key points

- **Statement of financial position (balance sheet):** assets, liabilities and equity at a point in time
- **Non-current assets:** kept for more than a year, e.g. buildings and machinery
- **Current assets:** inventories, receivables, cash
- **Current liabilities:** debts due within a year, e.g. payables, overdraft
- **Non-current liabilities:** long-term debts, e.g. loans
- **Total equity:** share capital + retained earnings
- **Income statement:** revenue, costs and profit over a period
- **Capital employed:** total equity + non-current liabilities